

MODULE 3

Risk Scoring & Risk Heat Map

CIBC's Acquisition of a Digital Insurance Platform

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1. INTRODUCTION

This report evaluates the 30 identified risks associated with CIBC’s acquisition of a digital insurance platform. Likelihood and impact scores were assigned to each risk based on internal organisational factors, external competitive conditions, regulatory requirements, and industry evidence. These scores were used to develop three risk heat maps: a traditional colour-grid heat map in Excel, an Excel scatter risk map, and a programmatically generated heat map in Python. Together, these visualisations support risk prioritisation, resource allocation, and management decision-making. High-, Medium-, and Low-priority thresholds are clearly defined and applied consistently across the risk register, heat maps, and accompanying analysis.

2. ACQUISITION CONTEXT AND MARKET OPPORTUNITY

Canada’s insurance industry is experiencing significant digital transformation. Changing consumer expectations, the widespread adoption of artificial intelligence in underwriting and claims processing, and the emergence of digital-first insurers have fundamentally reshaped the competitive landscape (Deloitte, 2024). Companies such as Lemonade and PolicyMe have attracted substantial policy volumes by offering fully digital, mobile-first experiences that traditional insurers have been slower to replicate (Swiss Re Institute, 2023). PolicyMe reported 40% year-over-year premium growth in 2023, demonstrating that consumers are increasingly willing to purchase insurance through non-traditional digital channels. This behaviour is no longer an emerging trend; it is now an established feature of the market.

Within this environment, CIBC has identified a strategic growth opportunity supported by three structural advantages that most digital insurers cannot easily replicate: a digital banking client base of more than 11 million customers, a 157-year reputation for financial stability and trust, and an integrated wealth management division that creates natural cross-selling opportunities once insurance products are introduced (CIBC, 2023). McKinsey (2023) further reports that customers who use multiple financial products exhibit significantly lower attrition rates than single-product customers, reinforcing the business case for an integrated banking-and-insurance model.

The proposed acquisition affects multiple stakeholder groups whose interests must be understood before a meaningful assessment of risk can be conducted. Table 1 maps the primary stakeholder groups, their interests in the acquisition, and the risks that most directly affect them.

Stakeholder	Interest in Acquisition	Key Risks
CIBC Shareholders	Revenue growth, acquisition ROI, and long-term competitive positioning	R7 (Client Adoption Shortfall), R13 (Cultural Failure), R17 (Adverse Selection)
Banking Customers (11M)	Security and privacy of financial data as the integration expands CIBC’s data environment	R1 (Data Privacy Breach), R10 (Health Data Privacy), R21 (Ransomware)
Insurance Customers	Fair pricing, transparent AI-assisted decisions, and timely claims resolution	R4 (AI Underwriting Bias), R12 (Claims Disputes), R17 (Adverse Selection)
Regulators (OSFI, FINTRAC, Provincial)	Compliance with insurance distribution, data privacy, AML, and capital adequacy obligations	R2 (Regulatory Exposure), R18 (Money Laundering), R20 (Provincial Fragmentation)

Employees and Advisors	Successful integration, adequate training, provincial insurance licensing, and competitive compensation	R11 (Advisor Channel Failure), R13 (Cultural Failure), R8 (Talent Loss)
Technology Vendors	Platform continuity, favourable contractual terms, and ongoing commercial relationship post-acquisition	R9 (Vendor Lock-In), R16 (Infrastructure Outage)

Table 1. Key stakeholders and primary risk exposure. Source: Group 7 Risk Register, ALY6130, Spring 2026.

2.1 Competitive Landscape

Unlike TD Bank and RBC, CIBC does not currently possess an established insurance ecosystem. KPMG (2024) identifies digital distribution, ecosystem partnerships, and customer data integration as key competitive priorities across the Canadian insurance sector, reinforcing the strategic importance of CIBC’s acquisition. Competitors continue to invest in digital insurance capabilities. TD has developed digital insurance partnerships and supporting distribution infrastructure, while RBC has explored embedded insurance through its digital banking platform. Although both competitors had announced digital insurance initiatives, neither had launched a fully integrated banking-and-insurance offering as of June 2026 (McKinsey & Company, 2022). This creates a valuable first-mover opportunity for CIBC; however, the window is narrowing as competitors continue to invest in digital insurance capabilities.

BMO and Scotiabank have adopted a more conservative approach, limiting their insurance exposure primarily to creditor protection products distributed through existing banking channels rather than pursuing standalone digital insurance platforms. In contrast, CIBC’s acquisition strategy represents a more aggressive effort to secure immediate and comprehensive market access. This approach presents both a strategic opportunity and a significant execution risk. On one hand, CIBC could establish an early leadership position in digital insurance before competitors consolidate their presence. On the other, any highly visible failure during the launch or integration period could undermine customer confidence and damage the credibility of CIBC’s insurance offering before the platform reaches scale.

2.2 Regulatory Landscape

The regulatory environment governing digital insurance in Canada is both complex and rapidly evolving. At the federal level, the Office of the Superintendent of Financial Institutions (OSFI) oversees solvency, capital adequacy, and operational resilience for federally regulated financial institutions entering the insurance sector. In addition, OSFI’s updated Guideline B-10 on Third-Party Risk Management (2023) introduces enhanced vendor oversight requirements that are directly relevant to CIBC’s reliance on the acquired platform’s technology providers.

Canada’s Office of the Privacy Commissioner administers the Personal Information Protection and Electronic Documents Act (PIPEDA), which regulates the collection, use, and protection of personal information, including health data gathered during insurance underwriting. The proposed Consumer Privacy Protection Act (Bill C-27), which passed second reading in the Senate in 2024, further introduces AI transparency and explainability requirements that are expected to affect automated underwriting and decision-making processes (OSFI, 2024).

At the provincial level, insurance distribution is regulated independently across Canada's ten provinces and three territories. Each jurisdiction maintains its own insurance legislation, licensing requirements, and product approval processes. As a result, CIBC must secure separate regulatory approvals before distributing insurance products in each province, creating multiple compliance streams that must be managed concurrently with the platform integration. This level of regulatory complexity differs significantly from CIBC's existing banking operations, which function within a predominantly federal regulatory framework. In addition, FINTRAC's anti-money laundering requirements extend to insurance products, introducing another layer of compliance that the acquired platform was not previously required to manage at CIBC's scale (FINTRAC, 2023).

2.3 Why This Acquisition Matters

For CIBC, this acquisition represents far more than the introduction of a new product line. It is a strategic initiative designed to defend market share against emerging digital-first insurers, strengthen customer relationships through cross-selling opportunities, and diversify revenue streams beyond traditional banking activities.

However, realising these benefits depends on successfully managing a range of operational, regulatory, cybersecurity, and integration risks that differ significantly from those historically encountered by the bank. Failure to manage these risks would not simply result in underperformance of the platform; it could weaken customer trust, damage brand reputation, and allow competitors to capitalise on CIBC's missteps in an increasingly competitive market.

2.4 Market Forces and Risk Implications

The table below links the key market forces identified through industry research to the specific risks they create within the CIBC acquisition context. This mapping demonstrates that the assigned likelihood and impact scores are grounded in observable market evidence, regulatory developments,

Digital Insurance Growth	12% annual market growth in Canada; PolicyMe 40% YoY premium growth (Swiss Re Institute, 2023)	Supports positive risks R3, R14, R28, R30. First-mover window is real but closing.
AI Regulation	Canada's Bill C-27 introduces AI transparency and explainability requirements for automated decisions (OSFI, 2024)	Directly supports R4 (AI Underwriting Bias) at L=7. CIBC has no existing AI governance framework for insurance.
Cyber Threats	Lemonade Inc. 2022 data breach confirmed combined financial-health data environments are active attack targets (Lemonade Inc., 2022)	Supports R1 (Data Privacy Breach) at L=9 — the only Very Likely score in the register.
Competitive Pressure	TD and RBC have announced digital insurance partnerships but not yet launched; BMO and Scotiabank remain passive (McKinsey & Company, 2022)	Supports R6 (Competitor Pre-emption) at L=5. Window is open but requires urgent execution.
Customer Behaviour	McKinsey (2023) confirms bundled multi-product clients have significantly lower attrition rates and higher lifetime value	Supports R7 (Client Adoption Shortfall) as the primary financial risk if cross-sell fails, and R14 (Cross-Sell Revenue Uplift) as the primary positive risk.
Provincial Regulatory Fragmentation	Canada's 10 provincial insurance regulators each maintain separate licensing	Supports R20 (Provincial Reg. Fragmentation) at L=7. A delay in Ontario or

	requirements with no federal harmonisation (Insurance Bureau of Canada, 2023)	Quebec alone would materially reduce first-year revenue projections.
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Table 2. Market forces and risk implications. Source: Group 7 Risk Register and evidence sources cited. ALY6130, Spring 2026.

3. RISK NARRATIVE

3.1 Problem Statement

CIBC's acquisition of a digital insurance platform is far more than a technology integration initiative. It represents the bank's entry into a highly regulated industry in which it has limited operational experience. Success depends on simultaneously building insurance capabilities, integrating cloud-native infrastructure with legacy banking systems, navigating multiple regulatory regimes across Canada, and safeguarding an expanded pool of customer information that now includes sensitive health data.

These challenges are not independent. Rather, they form an interconnected portfolio of risks that can reinforce and amplify one another. A cybersecurity vulnerability may trigger regulatory scrutiny and reputational damage; a compliance failure can delay market entry and revenue generation; an inadequately trained advisor network can weaken distribution effectiveness; and a poor claims experience during launch can undermine customer confidence before the insurance business has an opportunity to establish credibility. Consequently, the success of the acquisition depends not only on managing individual risks but also on understanding the cumulative effect of risks across operational, regulatory, technological, and customer-facing functions.

At the same time, the acquisition creates a range of strategic opportunities that are as significant as the threats themselves. The potential to capture first-mover advantage in digital insurance, expand revenue through cross-selling to more than 11 million existing banking customers, and leverage integrated banking-and-insurance data for enhanced decision-making represents a substantial source of long-term value. However, these opportunities are time-sensitive. Delayed execution may allow competitors to strengthen their market position and reduce the benefits available to CIBC. As a result, opportunity realisation requires the same level of management attention, investment, and urgency as risk mitigation.

This analysis evaluates and prioritises all 30 identified risks to provide management with a clear understanding of where intervention is most critical, which opportunities warrant proactive exploitation, and how the overall risk profile should inform integration planning, resource allocation, and strategic decision-making.

4. IMPACT STATEMENT

The overall risk profile associated with the acquisition generates potential consequences across five key dimensions:

Financial: The downside scenario, including a data privacy breach (R1), adverse pricing outcomes (R17), regulatory penalties (R2, R20), and client adoption shortfalls (R7), could result in significant financial losses through remediation costs, compliance penalties, delayed revenue generation, and operational disruption. Conversely, positive risks such as first-mover market capture, cross-sell

revenue growth, and platform reusability (R3, R14, R15, R27, R28, R30) present substantial opportunities for revenue expansion and long-term competitive advantage.

Operational: The integration period creates heightened operational exposure as CIBC’s existing banking infrastructure becomes increasingly interconnected with an insurance platform that is still undergoing implementation and scaling. Key risks include platform integration failure, infrastructure outages, and cyber-related disruptions (R5, R16, R21).

Legal and Compliance: CIBC will operate within a complex regulatory environment governed by OSFI, provincial insurance regulators, FINTRAC, PIPEDA, and emerging AI-related requirements under Bill C-27. Non-compliance in one area may create cascading regulatory, legal, and reporting obligations across multiple jurisdictions and oversight bodies (R2, R18, R20, R24).

Reputational: As CIBC establishes its presence in the insurance sector, customer trust and brand credibility remain particularly vulnerable. A significant data breach, disputed AI-assisted underwriting decision, or highly publicised claims dispute (R1, R4, R12) could negatively influence public perception and weaken customer confidence during the critical launch and growth stages.

Competitive: Many of the acquisition’s anticipated benefits are time-sensitive. Delays in execution may reduce the first-mover advantage that underpins the strategic rationale for the acquisition, allowing competitors to strengthen their own digital insurance capabilities and erode CIBC’s market opportunity.

5. EVIDENCE BASE FOR RISK SCORING

5.1 Internal Factors: Strengths and Weaknesses

CIBC’s 2023 Annual Report highlights several organisational strengths relevant to the acquisition, including approximately CAD \$23.6 billion in revenue, an investment-grade credit rating, and a digital banking client base exceeding 11 million customers (CIBC, 2023). These strengths support the likelihood and impact assessments assigned to the positive risks associated with market capture, cross-selling opportunities, data intelligence, and platform scalability (R3, R14, R15, R27, R28, R30).

At the same time, the acquisition exposes several internal weaknesses. CIBC has limited experience in insurance underwriting, claims management, actuarial pricing, and provincial insurance licensing. These capability gaps contribute directly to the elevated likelihood scores assigned to regulatory, operational, and customer-facing risks, including R2, R4, R10, R11, R17, and R20. Furthermore, an advisor compensation structure historically designed around banking products increases the likelihood of advisor channel failure (R11), while the bank’s legacy core banking architecture creates integration challenges that support the scoring of platform integration and infrastructure-related risks (R5, R16, R21).

5.2 External Factors: Threats and Opportunities

External market conditions provide important evidence supporting the likelihood and impact assessments within the risk register. The continued growth of Canada’s digital insurance market, combined with PolicyMe’s reported year-over-year premium growth in 2023, reinforces the

opportunity scores assigned to positive risks associated with market expansion and customer acquisition (Swiss Re Institute, 2023).

From a competitive perspective, TD Bank and RBC had announced digital insurance initiatives but had not yet launched fully integrated offerings as of June 2026, supporting the likelihood assessment for competitor pre-emption risk (R6). Cybersecurity remains a significant external threat, with Lemonade Inc.'s 2022 data breach demonstrating the vulnerability of integrated financial and insurance data environments and supporting the Very Likely classification assigned to R1 (Lemonade Inc., 2022).

Regulatory developments further influence the risk profile. Bill C-27 introduces AI transparency and explainability requirements relevant to automated underwriting decisions, supporting the likelihood assessment for AI underwriting bias risk (R4) (OSFI, 2024). Similarly, OSFI's updated Guideline B-10 on Third-Party Risk Management highlights the importance of vendor oversight and directly supports the scoring of third-party dependency and vendor lock-in risks (R9).

5.3 SWOT Mapping

SWOT Element	Example Risks	Rationale
Strengths	R3, R14, R15, R27, R28, R30	CIBC's 11M client base, brand trust, and mortgage origination volume create distribution advantages that insurtechs cannot replicate
Weaknesses	R5, R8, R11, R13, R17, R22, R26	No actuarial expertise, no claims management experience, no insurance-licensed advisors, and legacy IT architecture incompatible with cloud-native platforms
Opportunities	R3, R14, R15, R28, R29, R30	Rapid digital insurance market growth, untapped cross-sell potential across 11M existing clients, and reusable platform architecture for future products
Threats	R1, R2, R4, R6, R18, R20, R21	Cyber threat actors targeting combined financial-health data environments, Bill C-27 AI transparency obligations, TD/RBC competitive pre-emption risk, and 10 provincial regulatory pathways

Table 6. SWOT mapping summary. Source: Group 7 Risk Register, ALY6130, Spring 2026.

SWOT Interpretation

The SWOT analysis demonstrates that the highest-ranked risks are driven by a combination of internal weaknesses and external threats. Limited insurance-sector experience, advisor capability gaps, and legacy technology infrastructure increase CIBC's exposure to operational, technological, and compliance risks. At the same time, cybersecurity threats, evolving regulatory requirements, and competitive pressures further elevate overall risk levels.

Conversely, CIBC's strong brand reputation, large customer base, and established digital banking platform support several high-value opportunities, including cross-selling, market expansion, data intelligence, and platform scalability. These findings confirm that both internal and external factors contribute significantly to the acquisition's overall risk profile and justify the likelihood and impact scores assigned throughout the risk register.

5.4 Risk Interdependency

Several high-priority risks are interconnected and may create cascading consequences across the acquisition. For example, a data privacy breach (R1) could trigger regulatory penalties (R2), customer attrition (R7), and negative media attention (R25). Similarly, platform integration failure (R5) may contribute to infrastructure outages (R16), customer complaints (R22), and adoption shortfalls (R7). Understanding these relationships is important because mitigating a root-cause risk can reduce exposure across multiple areas simultaneously.

6. RISK SCORING METHODOLOGY

Risks were assessed using the ALY6130 Risk Calculation Sheet, where the overall Risk Score was calculated as the product of the Likelihood Score and Impact Score (Risk Score = Likelihood × Impact). Likelihood ratings were assigned based on evidence from industry reports, regulatory publications, competitive developments, and CIBC’s internal organisational strengths and weaknesses. Impact ratings were evaluated across the financial, operational, reputational, competitive, technological, and legal/compliance dimensions defined within the Risk Calculation Sheet. This approach ensured that risk scores reflected both the external market environment and the internal conditions influencing CIBC’s acquisition strategy. The methodology is consistent with ISO 31000:2018, which emphasises the systematic identification, assessment, and prioritisation of risks to support organisational decision-making (International Organization for Standardization, 2018). The likelihood–impact scoring approach also aligns with established risk management practices that evaluate risk exposure through the combined assessment of probability and consequence (Hopkin, 2018).

6.1 Likelihood Scale

Likelihood	Score	Basis for CIBC Insurance Acquisition Scoring
Very Unlikely	1	Requires multiple simultaneous enabling conditions with strong existing barriers
Somewhat Unlikely	3	Possible but requires specific enabling conditions not currently in place (e.g., reinsurance counterparty failure, OSFI capital shortfall)
50-50 Possibility	5	Roughly equal probability during the integration and launch window (e.g., platform integration failure, competitor pre-emption)
Somewhat Likely	7	More likely than not given CIBC’s documented internal capability gaps (e.g., advisor channel failure, AI bias, provincial regulatory fragmentation)
Very Likely	9	Near-certain: R1 scored L=9 because CIBC’s expanded attack surface, integration vulnerabilities, and confirmed threat-actor interest make a serious breach highly probable without pre-emptive controls (Lemonade Inc., 2022)

Table 3. Likelihood scoring scale (ALY6130 Risk Calculation Sheet). Source: Group 7 Risk Register, ALY6130, Spring 2026.

6.2 Impact Scale

Impact Level	Score	Risk Calculation Sheet — Key Dimensions
Very Low	1	Maintenance costs Change management Brand monitoring Vendor compliance
Somewhat Low	2	Tech obsolescence costs Limited human capital System failure optics
Moderate	4	Vendor lock-in costs Third-party tool dependency Conflict with regulatory standards
Somewhat High	6	Litigation/compliance costs Integration disruption Bias and discrimination costs
High	8	Data accuracy issues Data privacy breaches Algorithmic bias Regulatory change adjustments
Extremely High	9	System failure/downtime Ethical/fairness concerns Compliance risk (privacy/security)

Table 4. Impact scoring scale (ALY6130 Risk Calculation Sheet). Source: Group 7 Risk Register, ALY6130, Spring 2026.

6.3 Priority Thresholds

Priority	Score Range	Heat Map Colour	Management Action
HIGH	Score 36–81	RED	Immediate escalation to C-suite and Board. Active mitigation plan within 30 days. Mandatory KRI monitoring.
MEDIUM	Score 10–35	YELLOW	Assigned owner. Monthly management reporting. Mitigation plan within 60 days.
LOW	Score 1–9	GREEN	Accept with routine periodic review. No immediate escalation required.
POSITIVE	Any score	BLUE	Exploit actively. Assign owner. Track realisation with KRI. Quarterly board reporting.

Table 5. Priority threshold definitions. Source: Group 7 Risk Register and Risk Calculation Sheet, ALY6130, Spring 2026.

The maximum achievable risk score is 81 (Likelihood = 9 × Impact = 9). Of the 30 risks assessed, 19 were classified as High priority and 11 as medium priority. No risks fell within the Low-priority range, reflecting the significant complexity and risk concentration associated with the acquisition.

7. SCORED RISK REGISTER: ALL 30 RISKS RANKED

Table 7 presents all 30 risks ranked in descending order of risk score. Likelihood (L) is measured on a scale of 1, 3, 5, 7, and 9, while Impact (I) is measured on a scale of 1, 2, 4, 6, 8, and 9, as defined in the ALY6130 Risk Calculation Sheet. Risk Score is calculated as $L \times I$, and (+) denotes a positive risk (opportunity). The complete risk register, including mitigation controls, KRIs, and supporting documentation, is provided in the accompanying workbook (Module3_CIBC_HeatMap_Final.xlsx)

Risk ID	Risk Name	L	I	Score	Priority	Primary SWOT Driver
R1	Data Privacy Breach	9	8	72	H	WEAKNESS + THREAT

R2	Regulatory & Compliance Exposure	7	8	56	H	WEAKNESS + THREAT
R3	First-Mover Market Capture	7	8	56	H (+)	STRENGTH + OPPORTUNITY
R4	AI Underwriting Bias	7	8	56	H	WEAKNESS + THREAT
R14	Cross-Sell Revenue Uplift	7	8	56	H (+)	STRENGTH + OPPORTUNITY
R28	Wealth Mgmt Referral Uplift	7	8	56	H (+)	STRENGTH + OPPORTUNITY
R30	Platform Reusability Blueprint	7	8	56	H (+)	STRENGTH + OPPORTUNITY
R11	Advisor Channel Failure	7	7	49	H	WEAKNESS
R17	Adverse Selection / Pricing	7	7	49	H	WEAKNESS
R20	Provincial Reg. Fragmentation	7	7	49	H	WEAKNESS + THREAT
R6	Competitor Pre-emption	5	9	45	H	THREAT
R10	Health Data Privacy Breach	5	9	45	H	WEAKNESS + THREAT
R16	Dual Infrastructure Outage	5	9	45	H	WEAKNESS + THREAT
R21	Ransomware Attack on Platform	5	9	45	H	WEAKNESS + THREAT
R9	Third-Party Vendor Lock-In	7	6	42	H	WEAKNESS + THREAT
R5	Platform Integration Failure	5	8	40	H	WEAKNESS
R12	Claims Dispute / Brand Damage	5	8	40	H	WEAKNESS + THREAT
R15	Data Intelligence Advantage	5	8	40	H (+)	STRENGTH
R27	Climate Claims Concentration	5	8	40	H (+)	OPPORTUNITY
R7	Client Adoption Shortfall	5	7	35	M	WEAKNESS + THREAT
R13	Post-Acq. Cultural Failure	5	7	35	M	WEAKNESS
R23	Interest Rate / ALM Risk	5	7	35	M	WEAKNESS
R25	Negative Media at Launch	5	7	35	M	WEAKNESS + THREAT
R29	Insurance-Mortgage Underwriting	5	7	35	M (+)	STRENGTH + OPPORTUNITY
R8	Integration Talent Loss	5	6	30	M	WEAKNESS + THREAT
R22	Complaint Handling Failure	5	6	30	M	WEAKNESS
R26	Poor Mobile App UX	5	6	30	M	WEAKNESS
R18	Money Laundering via Insurance	3	9	27	M	WEAKNESS + THREAT
R24	OSFI Capital Adequacy Shortfall	3	9	27	M	WEAKNESS
R19	Reinsurance Counterparty Failure	3	8	24	M	WEAKNESS

Table 7. Scored risk register — all 30 risks ranked. Source: Group 7 Risk Register and Risk Calculation Sheet, ALY6130, Spring 2026.

7.1 Highest-Priority Risks

The highest-ranked risks received elevated scores due to their potential to create significant operational, regulatory, financial, and reputational consequences for CIBC during the acquisition and integration process.

R1 – Data Privacy Breach (Score = 72): This risk received the highest score because the acquisition expands CIBC’s data environment to include both financial and insurance-related customer information. The integration of sensitive personal and health data increases exposure to cybersecurity threats, regulatory scrutiny, and reputational damage.

R2 – Regulatory and Compliance Exposure (Score = 56): The acquisition introduces compliance obligations across multiple regulatory frameworks, including OSFI, FINTRAC, PIPEDA, and provincial insurance regulators. Failure to meet these requirements could result in penalties, operational restrictions, and delays to market entry.

R4 – AI Underwriting Bias (Score = 56): Automated underwriting creates risks relating to fairness, transparency, and explainability. Emerging AI governance requirements under Bill C-27 increase the likelihood and potential impact of compliance, legal, and reputational challenges.

8. RISK HEAT MAPS

8.1 Axis Convention and Scale

All three heat maps were developed using the same risk dataset and scoring methodology. Likelihood is plotted on the X-axis and Impact on the Y-axis. The Likelihood scale uses values of 1, 3, 5, 7, and 9, while the Impact scale uses values of 1, 2, 4, 6, 8, and 9, as defined in the ALY6130 Risk Calculation Sheet. Risk Score is calculated as Likelihood $\times$ Impact.

Threshold colours are applied consistently across all visualisations: Red = High (≥ 36), Yellow = Medium (10–35), Green = Low (1–9), and Blue = Positive Risk. Together, the heat maps provide complementary views of the same risk profile, highlighting risk concentration, severity, and distribution.

8.2 Excel Heat Map Grid (Figure 1)

Figure 1 presents the manually developed Excel heat map grid using conditional formatting. Each cell represents a Likelihood–Impact coordinate and is coloured according to its risk threshold. Impact values decrease from top to bottom, while Likelihood values increase from left to right, providing a clear visual representation of risk concentration across the matrix.

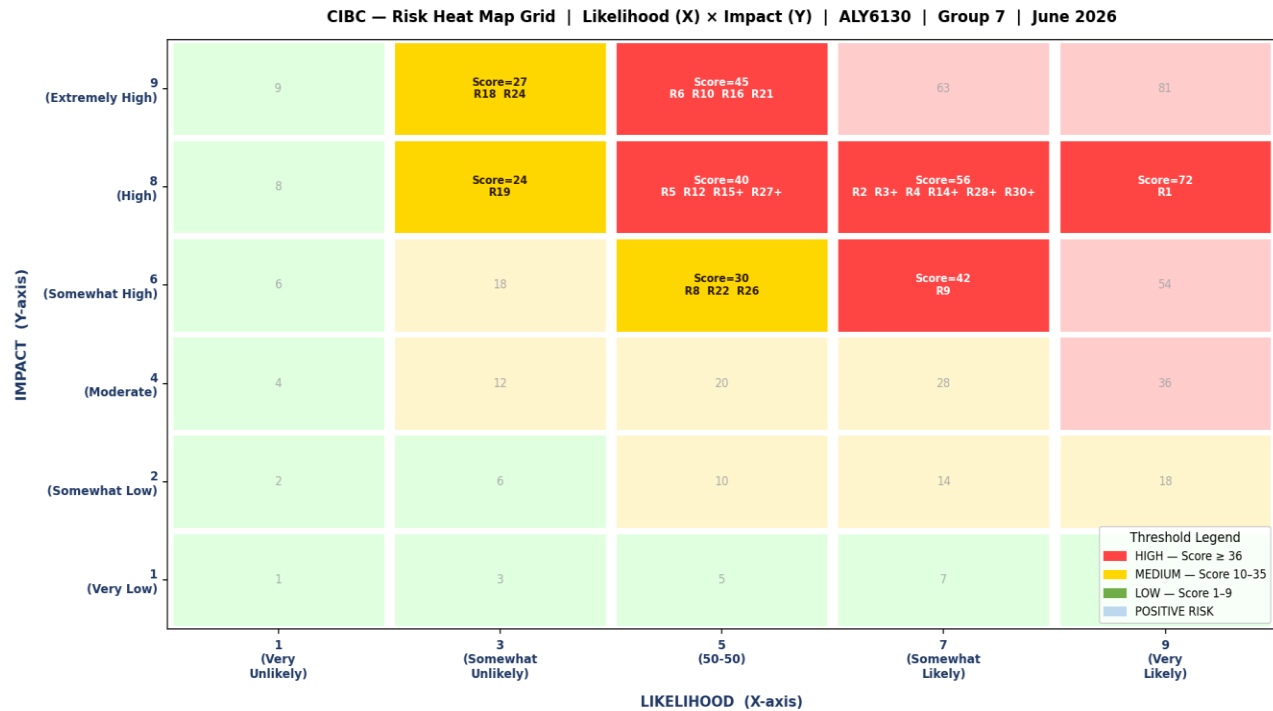


Figure 1. Developed by Group 7 using risk scores derived from the ALY6130 Risk Calculation Sheet, CIBC Annual Report (2023), Deloitte (2024), KPMG (2024), OSFI guidance, FINTRAC publications, and supporting industry research.. Likelihood = X-axis; Impact = Y-axis. Red = HIGH (≥36), Yellow = MEDIUM (10–35), Green = LOW (1–9), Blue = POSITIVE RISK. Source: Group 7 Risk Register and Risk Calculation Sheet, ALY6130, Spring 2026.

Figure 1 Discussion: The heat map shows a clear concentration of risks in the upper-right quadrant, where both Likelihood and Impact are high. The most densely populated cell (L=7, I=8; Score=56) contains six risks, including major threats such as R2 (Regulatory Exposure) and R4 (AI Underwriting Bias), alongside key opportunities such as R3 (First-Mover Market Capture) and R14 (Cross-Sell Revenue Uplift). This clustering highlights the central challenge of the acquisition: the same conditions that create the greatest opportunities also generate the highest levels of risk. R1 (Data Privacy Breach) stands alone at L=9, I=8 (Score=72), making it the highest-priority risk in the register.

8.3 Excel Scatter Risk Map (Figure 2)

Figure 2 presents the Excel scatter risk map, plotting each of the 30 risks at its corresponding Likelihood–Impact coordinate. Bubble size is proportional to Risk Score, making relative risk severity immediately visible. The X-axis uses the Likelihood values (1, 3, 5, 7, 9), while the Y-axis uses the Impact values (1, 2, 4, 6, 8, 9) defined in the ALY6130 Risk Calculation Sheet.

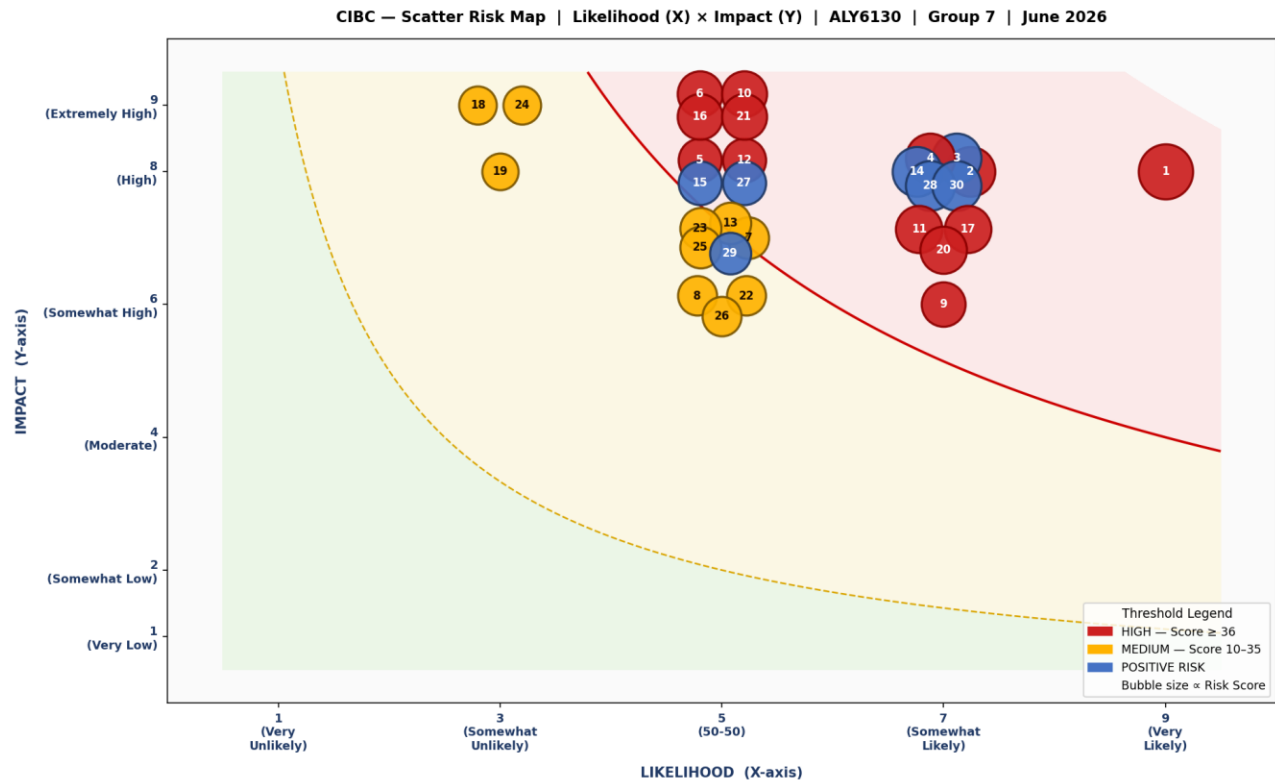


Figure 2. Developed by Group 7 using risk scores derived from the ALY6130 Risk Calculation Sheet, CIBC Annual Report (2023), Deloitte (2024), KPMG (2024), OSFI guidance, FINTRAC publications, and supporting industry research. Likelihood = X-axis (scale: 1,3,5,7,9); Impact = Y-axis (scale: 1,2,4,6,8,9). Bubble size $\propto$ Risk Score. Red = HIGH, Yellow = MEDIUM, Blue = POSITIVE RISK. Numbers = Risk ID. Source: Group 7 Risk Register and Risk Calculation Sheet, ALY6130, Spring 2026.

Figure 2 Discussion: The scatter map reinforces the pattern observed in Figure 1 while highlighting relative risk severity through bubble size. The largest risks are concentrated in the upper-right quadrant, where both Likelihood and Impact are high. Notably, key opportunities and major threats occupy the same region, indicating that value creation and risk exposure are closely linked. The medium-priority risks in the L = 3, I = 8–9 range (R18, R19, and R24) further demonstrate that lower likelihood does not necessarily imply lower consequence.

8.4 Python Heat Map (Figure 3)

Figure 3 presents the programmatically generated heat map developed in Python using the matplotlib library. The script validates all risk scores, classifies risks by threshold, and plots each risk at its corresponding Likelihood–Impact coordinate, with bubble size proportional to Risk Score and the Risk ID displayed within each bubble. The full code is provided in the accompanying notebook (*cibc_risk_analysis_final.ipynb*).

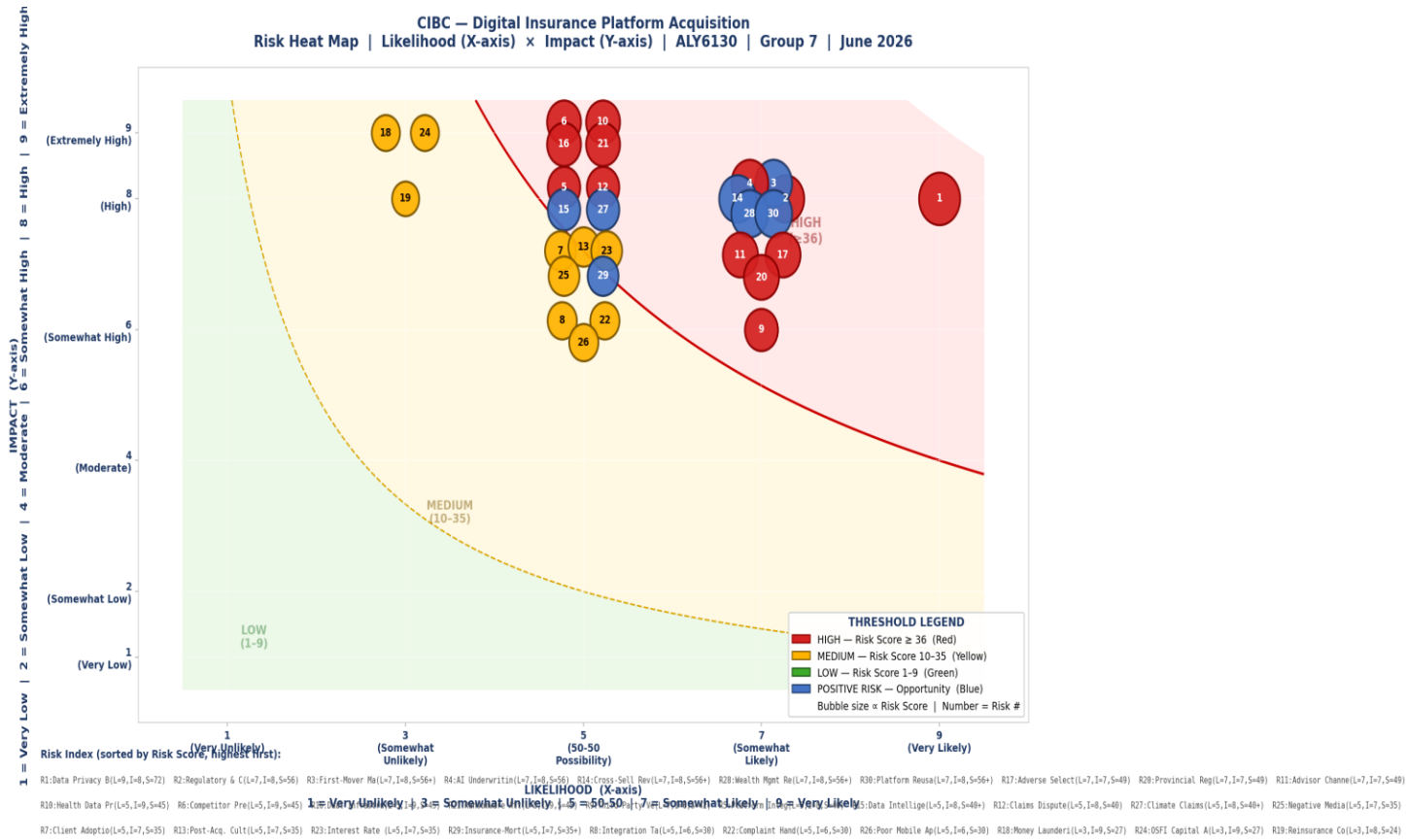


Figure 1. Python-generated risk heat map. X-axis = Likelihood; Y-axis = Impact. Likelihood scale: 1,3,5,7,9. Impact scale: 1,2,4,6,8,9. Risk Score = Likelihood × Impact. Source: Group 7 Risk Register and Risk Calculation Sheet, ALY6130, Spring 2026.

Figure 3. Developed by Group 7 using risk scores derived from the ALY6130 Risk Calculation Sheet, CIBC Annual Report (2023), Deloitte (2024), KPMG (2024), OSFI guidance, FINTRAC publications, and supporting industry research. Likelihood = X-axis (scale: 1,3,5,7,9); Impact = Y-axis (scale: 1,2,4,6,8,9). Risk Score = $L \times I$. Background zones: Green = LOW, Yellow = MEDIUM, Red = HIGH. Bubble size ∝ Risk Score. Numbers = Risk ID. Source: Group 7 Risk Register and Risk Calculation Sheet, ALY6130, Spring 2026.

Figure 3 Discussion: The Python heat map reinforces the threshold boundaries through continuous background zones, making the transition between Medium- and High-priority risks more visible. It highlights that R18, R19, and R24 lie close to the High-risk boundary despite their lower likelihood scores. The chart also shows that the most significant opportunities and threats occupy the same high-risk region, reinforcing the need to pursue risk mitigation and opportunity exploitation simultaneously.

9. Conclusion

This analysis identified 30 risks associated with CIBC's acquisition of a digital insurance platform. Using the ALY6130 Risk Calculation Sheet, 19 risks were classified as High priority and 11 as medium priority. No risks fell within the Low-priority range, reflecting the scale and complexity of entering a highly regulated industry in which CIBC has limited operating experience. The greatest concentration of risk was observed in four areas: cybersecurity and data protection, regulatory compliance, platform and technology integration, and operational readiness.

At the same time, the analysis identified seven positive risks that represent significant strategic opportunities. First-mover market capture, cross-sell revenue growth, data intelligence advantages, and platform reusability offer substantial long-term value while competitors such as TD and RBC continue developing their own digital insurance capabilities. The heat maps clearly illustrate that the acquisition's greatest opportunities and most significant threats occupy the same region of the risk matrix. Consequently, a strategy focused solely on risk mitigation may limit CIBC's ability to realise the benefits that underpin the acquisition. Effective execution requires both opportunity exploitation and risk mitigation to be managed concurrently.

Based on the analysis, CIBC should prioritise cybersecurity controls, regulatory readiness, platform integration governance, advisor training, and customer adoption strategies while actively pursuing opportunities related to first-mover advantage, cross-selling, and platform scalability. This balanced approach will enable the bank to manage downside risks while maximising the strategic benefits of the acquisition.

The three heat maps, namely the Excel heat map grid, Excel scatter risk map, and Python-generated heat map, provide consistent visual frameworks for communicating risk priorities and supporting decision-making. Together with the accompanying risk register and workbook, they provide a structured foundation for assigning ownership, monitoring KRIs, prioritising mitigation activities, and supporting the disciplined execution required for CIBC's successful entry into the digital insurance market.

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